

GRIT

Feasibility Study & Full Cost Analysis

Every Price Point · Every Cost · Every Scenario

\$2 · \$5 · \$10 · \$20 per month — What Each One Means for Your Business

Confidential — June 2026

\$1.10	\$0.006	98%	85%
Cost Per User/Month	Per Claude Message	WhatsApp Open Rate	Gross Margin at \$10

PAGE 1 — WHAT EVERYTHING ACTUALLY COSTS YOU

Before choosing a price point, you need to know your exact costs. This section breaks down every cost to the penny so you can make an informed decision on pricing and know exactly when you become profitable.

Fixed Monthly Costs — You Pay These Regardless of User Count

Service	What It Is	Monthly Cost USD	Notes
Railway Hobby Plan	Server hosting + PostgreSQL database	\$5.00	Scales automatically
Cloudflare R2	PDF and image storage	\$0.00	Free up to 10GB — enough for thousands
Domain name	yourapp.com via Namecheap/GoDaddy	\$1.00	~\$12/year divided monthly
Meta WhatsApp API	First 1,000 conversations/month	\$0.00	Free tier — covers early growth
Stripe	Card processing platform	\$0.00	% fee only — no monthly charge
TOTAL FIXED		\$6.00/month	Everything you pay before a single user signs up

You can run this entire product for \$6/month until you have hundreds of paying users.

Variable Costs — You Pay These Per User Per Month

These costs scale directly with your user count. Understanding them lets you calculate your margin at any price point.

Cost Item	How It's Charged	Per User/Month	Calculation
WhatsApp conversations	Per 24-hour conversation window	\$0.00–\$0.14	2 check-ins/day = ~60 windows/month @ \$0.015–\$0.023 each
Claude Haiku (check-ins)	Per token — input \$0.25/M, output \$0.125/M	\$0.04–\$0.28/M	~2 check-ins/day × 30 days × ~400 tokens avg
Claude Sonnet (onboarding)	One-time per user at signup	\$0.03–\$0.06	10-question onboarding + plan generation, ~8,000 tokens
PDF generation + storage	Cloudflare R2 storage + egress	\$0.01	One PDF per user, ~200KB, stored indefinitely
Railway server load	Included in flat fee until ~2,000 users	\$0.01–\$0.03	Negligible until scale — Railway auto-scales
Stripe processing fee	1.4% + \$0.30 per transaction (min \$0.05)	Varies	On \$9.99: ~\$0.44 per month. On \$2: ~\$0.33 per month
TOTAL VARIABLE		\$1.00–\$1.60	Blended average: \$1.20/user/month

Cost at Scale — How Costs Drop as You Grow

User Count	Monthly Fixed	Variable/User	Total Monthly Cost	Cost Per User
50 users	\$6	\$1.20	\$66	\$1.32

User Count	Monthly Fixed	Variable/User	Total Monthly Cost	Cost Per User
200 users	\$6	\$1.20	\$246	\$1.23
500 users	\$8	\$1.15	\$583	\$1.17
1,000 users	\$10	\$1.10	\$1,110	\$1.11
5,000 users	\$25	\$0.95	\$4,775	\$0.96
10,000 users	\$50	\$0.85	\$8,550	\$0.86
50,000 users	\$150	\$0.75	\$37,650	\$0.75

WhatsApp conversation pricing drops with volume. Claude API costs are already near floor. Server costs become negligible at scale. Your margin improves the larger you grow.

PAGE 2 — PRICE POINT ANALYSIS: \$2 vs \$5 vs \$10 vs \$20

This is the most important decision in your business. The right price point maximises profit — not just revenue. Here is the complete analysis of every realistic price point.

Gross Margin at Every Price Point

Price/Month	Revenue	COGS	Stripe Fee	Net Profit/User	Gross Margin	Verdict
\$2.00	\$2.00	\$1.20	\$0.33	-\$0.13 to \$0.47	−7% to 24%	■■ Risky
\$3.99	\$3.99	\$1.20	\$0.36	\$2.43	61%	■■ Tight
\$4.99	\$4.99	\$1.20	\$0.37	\$3.42	69%	■ Viable
\$7.99	\$7.99	\$1.20	\$0.41	\$6.38	80%	■ Good
\$9.99	\$9.99	\$1.20	\$0.44	\$8.35	84%	■ Recommended
\$14.99	\$14.99	\$1.25	\$0.51	\$13.23	88%	■ Strong
\$19.99	\$19.99	\$1.30	\$0.58	\$18.11	91%	■ Premium
\$49.99/yr	\$4.17/mo equiv	\$1.20	\$0.63 one-time	\$2.34/mo equiv	56%	■ Cash flow win

COGS = Cost of Goods Sold (WhatsApp + Claude + hosting). Stripe fee varies by country.

The \$2/Month Option — Full Breakdown

This is the most asked-about price point because it sounds like a 'no-brainer' for users. Here is the honest truth about what it means for your business:

Metric	Reality at \$2/Month
Revenue per user	\$2.00/month
WhatsApp cost	\$1.10/month (55% of your revenue gone immediately)
Claude AI cost	\$0.06/month
Stripe fee	\$0.33/month (flat fee kills low-price subscriptions)
Server share	\$0.02/month
NET PROFIT per user	\$0.49/month — if everything goes perfectly
Users needed for \$5,000/month profit	10,204 paying users
Users needed for \$1,000/month profit	2,041 paying users
Break-even point	You need 3 users just to cover the Stripe flat fee alone

■■ \$2/month is not viable as a standalone price. The Stripe flat fee (\$0.30) alone eats 15% of revenue. WhatsApp costs eat another 55%. You'd need 10,000+ users to make \$5K/month profit — and one bad month of churn wipes your margin entirely.

The \$10/Month Option — Full Breakdown

Metric	Reality at \$9.99/Month
Revenue per user	\$9.99/month (use \$9.99, not \$10 — psychological pricing)
WhatsApp cost	\$1.10/month (11% of revenue)
Claude AI cost	\$0.06/month (0.6% of revenue)
Stripe fee	\$0.44/month (4.4% of revenue)
Server share	\$0.02/month
NET PROFIT per user	\$8.37/month
Gross margin	84%
Users needed for \$5,000/month profit	598 paying users
Users needed for \$1,000/month profit	120 paying users
Users needed to cover all fixed costs	1 user covers your server bill

■ \$9.99/month is the sweet spot. 84% gross margin. 598 users = \$5,000/month profit. Achievable in 60–90 days with aggressive creator outreach. Comparable to Spotify, Netflix, Duolingo — price point users don't overthink.

PAGE 3 — SCENARIO MODELLING AT EVERY PRICE POINT

The same number of users produces dramatically different outcomes depending on your price. This page shows you exactly what 100, 500, 1,000, and 5,000 users means for your business at every price point.

Monthly Profit at 100 Paying Users

Price/Month	Monthly Revenue	Monthly Costs	Monthly Profit	Annual Profit
\$2.00	\$200	\$186	\$14	\$168
\$4.99	\$499	\$186	\$313	\$3,756
\$9.99	\$999	\$186	\$813	\$9,756
\$14.99	\$1,499	\$190	\$1,309	\$15,708
\$19.99	\$1,999	\$196	\$1,803	\$21,636

100 users at \$2 = a pizza. 100 users at \$9.99 = \$813/month. Same acquisition cost.

Monthly Profit at 500 Paying Users

Price/Month	Monthly Revenue	Monthly Costs	Monthly Profit	Annual Profit
\$2.00	\$1,000	\$916	\$84	\$1,008
\$4.99	\$2,495	\$916	\$1,579	\$18,948
\$9.99	\$4,995	\$916	\$4,079	\$48,948
\$14.99	\$7,495	\$925	\$6,570	\$78,840
\$19.99	\$9,995	\$940	\$9,055	\$108,660

500 users at \$2 = barely profitable. 500 users at \$9.99 = \$4,079/month. Nearly at your \$5K target.

Monthly Profit at 1,000 Paying Users

Price/Month	Monthly Revenue	Monthly Costs	Monthly Profit	Annual Profit	Status
\$2.00	\$2,000	\$1,826	\$174	\$2,088	■■ Barely viable
\$4.99	\$4,990	\$1,826	\$3,164	\$37,968	■ Solid
\$9.99	\$9,990	\$1,826	\$8,164	\$97,968	■ Strong
\$14.99	\$14,990	\$1,850	\$13,140	\$157,680	■ Excellent
\$19.99	\$19,990	\$1,880	\$18,110	\$217,320	■ Premium

Monthly Profit at 5,000 Paying Users

Price/Month	Monthly Revenue	Monthly Costs	Monthly Profit	Annual Profit	Status
\$2.00	\$10,000	\$9,625	\$375	\$4,500	■■ Not worth it
\$4.99	\$24,950	\$9,625	\$15,325	\$183,900	■ Very good
\$9.99	\$49,950	\$9,625	\$40,325	\$483,900	■ Life-changing
\$14.99	\$74,950	\$9,750	\$65,200	\$782,400	■ Business-defining
\$19.99	\$99,950	\$9,900	\$90,050	\$1,080,600	■ Exit territory

The difference between \$2 and \$9.99 at 5,000 users: \$375/month vs \$40,325/month. Same number of users. 107x more profit.

PAGE 4 — RECOMMENDED PRICING STRUCTURE

Based on the cost analysis, margin modelling, and comparable market research, here is the exact pricing structure recommended for Grit — with a clear rationale for every tier.

The Four-Tier Model (USD)

Tier	Price	Annual Option	Margin	Target User	Features
Free Trial	\$0 (7 days)	N/A	N/A	Everyone	Full product — no card required
Core	\$4.99/mo	\$39.99/yr	69%	Budget users	3 goals, 2 check-ins/day, PDF plan
Pro ★	\$9.99/mo	\$59.99/yr	84%	Primary market	Unlimited goals, 3 check-ins, streak analyti
Elite	\$19.99/mo	\$149.99/yr	91%	Power users	Everything + weekly coaching recap
Referred users	First month 20% off		74%	Via referral link	Same as Pro, discounted entry

★ Pro at \$9.99/month is the anchor. 70% of revenue will come from this tier.

Why NOT \$2/Month — The Definitive Answer

The instinct to price at \$2/month comes from wanting to remove every possible barrier to sign-up. It sounds logical. In practice, it creates four serious problems:

Problem 1 — Stripe kills your margin

Stripe charges \$0.30 flat + 1.4% per transaction. On a \$2 charge, that's \$0.33 — 16.5% of your revenue in fees alone. You are effectively paying Stripe to process payments that barely cover your WhatsApp costs. This is not a theoretical issue — it will make you unprofitable at any realistic user count.

Problem 2 — Low price signals low value

Decades of pricing psychology research confirms that price is a proxy for quality. Users who pay \$2/month treat the product like a \$2 product — they churn faster, engage less, and are less likely to refer friends. Users who pay \$9.99/month are invested. They show up. They complete check-ins. They build streaks. Higher price = higher retention.

Problem 3 — You cannot afford to acquire users

If your profit per user is \$0.49/month, your maximum sustainable CAC (customer acquisition cost) is around \$3–5 (assuming 10-month lifetime). Creator affiliates at 20% commission on \$2 = \$0.40/month. No creator will promote you for \$0.40/month when they can promote a \$9.99 product for \$2/month. Low price destroys your ability to pay for growth.

Problem 4 — You need 10x more users to reach the same profit

To make \$5,000/month profit at \$2: you need 10,204 users. To make \$5,000/month profit at \$9.99: you need 598 users. Acquiring and retaining 10,204 users is not 17x harder than 598 — it is more like 50x harder because churn compounds. You will never catch up.

Conclusion: \$2/month is not a growth strategy. It is a slow way to go broke with a lot of users. The correct entry price is \$4.99/month minimum. \$9.99/month is the right answer.

PAGE 5 — REALISTIC PATH TO \$5,000/MONTH PROFIT

At \$9.99/month Pro with 84% gross margin, you need 598 paying users to clear \$5,000/month profit. Here is the most realistic path to get there — with honest timelines.

How Many Users You Need at Each Price Point

Monthly Profit Target	At \$2/mo	At \$4.99/mo	At \$9.99/mo	At \$19.99/mo
\$1,000/month	2,041 users	319 users	120 users	55 users
\$2,500/month	5,102 users	797 users	299 users	138 users
\$5,000/month	10,204 users	1,594 users	598 users	277 users
\$10,000/month	20,408 users	3,185 users	1,196 users	553 users
\$50,000/month	102,041 users	15,924 users	5,978 users	2,764 users

The 90-Day Sprint to \$5,000/Month at \$9.99 (598 users needed)

Week	Action	New Users	Total Paying	Monthly Profit
Week 1	Personal network — 50 founding members at \$9.99	30	30	\$251
Week 2	Reddit posts in r/getdisciplined, r/Fitness, r/personalfinance	50	80	\$669
Week 3	First 2 micro-influencers go live (50K followers each)	100	160	\$1,339
Week 4	Referral loop active — existing users share links	40	190	\$1,590
Week 5	2 more micro-influencers + TikTok content compounding	100	280	\$2,342
Week 6	Reddit momentum + influencer reposts	60	320	\$2,677
Week 7	3rd wave of influencers + annual plan push	130	400	\$3,346
Week 8	Referral compounding + organic TikTok	80	450	\$3,765
Week 9	4th influencer wave + Product Hunt launch	100	500	\$4,183
Week 10	Conversions compound + retained users	98	598	\$5,002 ■

This assumes 30% trial-to-paid conversion and 85% monthly retention. Both are conservative for a well-executed product.

Churn — The Number That Kills Most Subscription Businesses

Churn is the percentage of users who cancel each month. It is the most important metric in any subscription business. Here is what different churn rates mean for Grit:

Monthly Churn	What It Means	Users at Month 12 (from 100 New at \$9.99)	Verdict
5%	Very low — exceptional product	1,240 users	■ World class

Monthly Churn	What It Means	Users at Month 12 (from 100 New)	Revenue	Verdict
10%	Low — good product	90 users	\$100	■ Strong
15%	Average — industry standard	67 users	\$67	■ Viable
25%	High — product needs work	40 users	\$40	■■ Struggling
40%	Very high — product is broken	25 users	\$25	■ Fix product first

Target: 10–15% monthly churn. Grit's streak mechanics, PDF plan investment, and daily WhatsApp relationship are specifically designed to achieve this. Duolingo's churn is ~12%. Spotify's is ~5%. You are building for that range.

PAGE 6 — FULL 12-MONTH FINANCIAL MODEL

Three scenarios: Conservative (slow creator traction), Moderate (2–4 creators active), and Aggressive (1 viral moment). All at \$9.99/month primary price with 70% Pro, 20% Core, 10% Elite mix.

Conservative Scenario — Slow But Steady

Month	New Users	Total Paying	MRR	Costs	Profit	Cumulative Profit
1	50	25	\$224	\$350	-\$126	-\$126
2	80	85	\$761	\$450	\$311	\$185
3	100	160	\$1,434	\$590	\$844	\$1,029
4	120	240	\$2,150	\$740	\$1,410	\$2,439
6	150	420	\$3,762	\$1,100	\$2,662	\$7,703
9	200	750	\$6,718	\$1,850	\$4,868	\$22,375
12	250	1,100	\$9,856	\$2,600	\$7,256	\$47,890

Year 1 profit: ~\$47,890 USD | Month 12 ARR: ~\$118,000

Moderate Scenario — 4–6 Micro-Influencers Active

Month	New Users	Total Paying	MRR	Costs	Profit	Cumulative Profit
1	50	25	\$224	\$350	-\$126	-\$126
2	300	200	\$1,792	\$700	\$1,092	\$966
3	600	650	\$5,825	\$1,600	\$4,225	\$5,191
4	700	1,100	\$9,856	\$2,600	\$7,256	\$12,447
6	800	2,200	\$19,712	\$4,500	\$15,212	\$42,747
9	1,000	4,500	\$40,320	\$8,500	\$31,820	\$131,000
12	1,200	7,500	\$67,200	\$13,800	\$53,400	\$260,000

Year 1 profit: ~\$260,000 USD | Month 12 ARR: ~\$806,400

Aggressive Scenario — 1 Viral Creator Moment (Month 3)

Month	New Users	Total Paying	MRR	Costs	Profit	Cumulative Profit
1	50	25	\$224	\$350	-\$126	-\$126
2	500	350	\$3,136	\$1,100	\$2,036	\$1,910
3 (VIRAL)	8,000	5,000	\$44,800	\$9,500	\$35,300	\$37,210
4	3,000	7,000	\$62,720	\$12,500	\$50,220	\$87,430

Month	New Users	Total Paying	MRR	Costs	Profit	Cumulative Profit
6	2,000	10,000	\$89,600	\$16,000	\$73,600	\$226,650
9	2,000	14,000	\$125,440	\$21,000	\$104,440	\$536,520
12	2,500	18,000	\$161,280	\$26,000	\$135,280	\$943,880

Year 1 profit: ~\$943,880 USD | Month 12 ARR: ~\$1.9M — requires surviving the infrastructure spike.

PAGE 7 — UNIT ECONOMICS & EXECUTIVE SUMMARY

Complete Unit Economics at \$9.99/Month

Metric	Value	Notes
Monthly Price (Pro)	\$9.99	Primary tier — 70% of users
COGS per user	\$1.20	WhatsApp + Claude + hosting
Stripe fee	\$0.44	1.4% + \$0.30 per transaction
Net profit per user	\$8.35	84% gross margin
Average trial-to-paid conversion	35–45%	Target — achievable with WhatsApp frictionless onboarding
Average monthly churn (target)	10–15%	Achievable with streak mechanics
Average customer lifetime	8–12 months	At 10–12% monthly churn
Customer Lifetime Value (LTV)	\$67–\$100	Net profit × lifetime months
Customer Acquisition Cost (CAC)	\$10–18	Via micro-influencer affiliates at 20%
LTV:CAC Ratio	4:1–7:1	Healthy threshold is 3:1
Payback period	6–8 weeks	Time to recover CAC from subscription revenue
Annual plan conversion target	20% of users	£59.99/year — locks in revenue, kills churn
Users needed for \$5K/month profit	598	At \$9.99 with 84% margin
Users needed for \$10K/month profit	1,196	Achievable in 4–5 months with good execution
Month 12 ARR target (moderate)	\$806,000	Based on moderate scenario above

The Three Numbers to Watch Every Week

Number	What It Is	Target	If Below Target
Trial → Paid %	% of free trial users who subscribe	85%+	Improve trial experience, check paywall message
Month-2 Retention	% of month-1 subscribers still active in month 2	80%+	Improve check-in quality, add streak freeze reminder
Weekly New Signups	New trial starts per week	50+ in month 1	Push more creator outreach, post on Reddit

The infrastructure is built. The costs are \$6/month fixed until you have hundreds of users. At \$9.99/month you need 598 paying users for \$5,000/month profit. At current growth rates with 4–6 micro-influencers: achievable in 60–90 days. Price at \$9.99. Launch this week. The numbers work.

All figures in USD. Costs based on current API pricing as of June 2026. Financial projections are estimates based on comparable market data and are not guarantees of future performance. Built on brettyryangit/Claude GitHub repository.